Nirav Modi Money Laundering Case Report

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Date: July 2025

Summary Insight

This report explores the Nirav Modi money laundering case. The Nirav Modi money laundering case involves a massive fraud at the Punjab National Bank (PNB) where fraudulent letters of undertaking (LoUs) were issued, allowing Nirav Modi and his associates to obtain credit from overseas banks. This led to a scam worth ₹11,400 crore (approximately $1.7 billion). The case is being investigated for money laundering, and Nirav Modi is currently facing extradition proceedings from the UK.

Introductory Note

Money laundering is an illegal activity. It makes large amounts of money that's generated by criminal activity such as drug trafficking or terrorist funding appear to have come from a legitimate source. The money from the criminal activity is considered dirty and the process “launders” it to make it appear clean.

Money laundering is essential for criminal organizations that use illegally obtained money. Criminals deposit money in legitimate financial institutions to make it appear as though it comes from legitimate sources.

Background of the Case

Who is Nirav Modi: Nirav Modi is a fugitive Indian businessman who was in the business of luxury diamond jewellery. He is the founder of Nirav Modi chain of diamond jewellery retail stores.

The Scam: The Punjab National Bank Fraud Case relates to a fraudulent letter of undertaking worth ₹12,000 crore issued by the Punjab National Bank at its Brady House branch in Fort, Mumbai; making Punjab National Bank liable for the amount. The fraud was allegedly organized by jeweller and designer Nirav Modi.

Involved Entities: Nirav Modi, his uncle Mehul Choksi, several PNB officials and his shell companies in national and international levels

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Fraud Mechanism

Fake LOUs: Bankers used fake Letters of Undertakings (LoUs) at PNB's Brady House branch in Fort, Mumbai. The LoUs were opened in favour of branches of Indian banks for import of pearls for a period of one year

Internal Family Network: CBI files third charge sheet in PNB fraud, naming Purvi Modi and Aditya Nanavati and other relatives helped launders fund across borders.

Shell Companies: Nirav Modi and his associates allegedly utilized a network of over 150 shell companies across various international locations, including Hong Kong, Dubai, and the United States. These companies were reportedly used to launder money and evade taxes related to the Punjab National Bank (PNB) scam.

Financial Trail and Asset Attachment

Asset Type	Value (in Rs Crore)	Location
Real Estate(India)	216	Mumbai, Alibaug
Real Estate(Abroad)	272.97	London,New York,UAE
Jewellery & Watches	140	India, Dubai, Hong Kong
Bank Accounts & Deposits	250+	Multiple countries
Total Attachments by ED	~2,348	Global

- By 2025, a total of Rs 66 crore worth of assets have been released to Punjab National Bank to recover losses.

Banking Sector Fallout

- **Restricted LoU Issuance:** LoU were banned temporarily for foreign trade credits.
- **Improved Regulatory Oversight:** Banks strengthened internal audits and KYC procedures.
- **RBI Policy Overhaul:** Mandated SWIFT-CBS integration for real-time monitoring.
- **Erosion of Institutional Trust:** Severe loss of trust in public sector banks.

Judicial and Enforcement Measures

- **Interpol Red Corner Notice:** Issued against Nirav Modi and his associates.
- **FEOA:** Nirav Modi declared a Fugitive Economics Offender.
- **ED & CBI:** Registered multiple cases under PMLA and IPC.
- **UK Court:** Approved extradition to India 2022, still under legal proceedings.

SWOT Analysis

Strength	Weakness
Strong enforcement actions Swift judicial response	Weak internal controls Poor SWIFT-CBS integration
Opportunity	**Threats**
AML Technology Improvements complexity International cooperations	Cross-border laundering Insider collusion

Conclusion

The Nirav Modi case serves as a lesson in how even a small degree of negligence and greed within banks cam lead to massive fraud. Witnessing such scams, all banks are now introducing new regulations and enhancing their security systems. Despite the scale of the scam, Nirav Modi has still not been arrested. This case highlights the urgent need for stickers compliance, better internal controls , and global cooperation in tracking economic offenders to ensure accountability and restore trust in the financial system.

References

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